

ENTRY BARRIERS

Barriers to entry in India's defence-tech ecosystem are steep, says Ahmed, pointing to the challenges start-ups face in securing early-stage funding. On the one hand, government participation at the initial stages of fund-raising is limited, and on the other, raising private capital for defence-oriented ventures is far from easy.

This combination makes it difficult for young companies to scale up quickly or take bold bets in a sector that demands both patience and heavy investment.

The speed at which government contracts are being allocated is accelerating and budgets are expanding, but there is always room for improvement, says Abhishek Prasad, Managing Partner at Cornerstone Ventures, which has invested in defence start-ups like NewSpace Research and Technologies.

"In the last Budget, almost ₹1.5 lakh crore was reserved for new equipment and modernisation of the defence sector. Therefore, the total addressable market is rather large," adds Prasad.

As India looks to strengthen its defence-tech landscape, fostering a culture of public-private collaboration with start-ups could be the key to scaling up innovation and reducing strategic dependence on foreign technologies, say experts.

Just a decade ago, for instance, China's defence and space capabilities were almost entirely government-driven, with little or no private sector



Start-ups can significantly accelerate innovation and plug operational gaps more efficiently in areas such as drones, surveillance systems, AI-based intelligence, and rapid prototyping"

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INDIA HAS IN RECENT YEARS EMERGED AS A MAJOR DEFENCE PRODUCER, DRIVEN BY THE MAKE IN INDIA INITIATIVE

involvement. But over the past 10 years, that has changed dramatically. By opening up the ecosystem to private entities, China has experienced a surge in start-ups working in critical areas such as air defence and space technology.

"If we hope to catch up with China, or even the US, India needs far more than just ISRO or DRDO leading the charge," says Ahmed. "We need at least 50 private companies and organisations working in tandem with these institutions. It can't be a government-only effort," he adds. ISRO is short for the Indian Space Research Organisation.

NATION BUILDING

Ahmed points to the US model of "American Dynamism"—a term used to describe venture capital investments in start-ups that support national interest, including aerospace, defence, public safety and education. "It's a powerful example of how enabling start-ups can help build for the nation," he says.

Prasad says the defence-tech start-up community has moved up in the past three to five years, but it is still struggling for capital, which is more easily accessible in more mature markets.

"There are often challenges in attracting capital from larger global funds," he says, noting that some funds have restrictions in terms of what they can invest in. "Therefore, there is a need for late-stage capital availability in the defence sector," Prasad says. **BT**

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